

(18) The Bollinger Bands Strategy I Use for 6-Figure Trades - YouTube
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Transcript:

(00:00) Hey, what's up guys? It's Ezekiel Chu here. So, let me hit you with this. Most traders think they know how to use the bowlinger bands, right? But the bands are the reason why they keep blowing trades. So, here's the truth. The bowlinger bands are not just like lines. [music] They are the market in a way. It's like a pressure system.

(00:23) It shows you when the volatility is about to like explode, right? It shows you when the momentum is about to die, right? And this is where all the exact sniper entries are sitting at. So when you understand that, you're going to stop trading like everyone else, right? You're going to start trading like how the big guys, how the big money are doing.

(00:47) So today, I'm breaking down the exact boler band strategy that I've used to pull in six figure trades. Right? This is a simple and powerful repeatable approach. So once you see this, you will never look at bowlinger bands the same way again. All right. So first thing first, bowlinger bands, right? Many traders they talk about them like oh it's like some secret formula but if you strip it down it's just really like the three lines that is wrapping around the price.

(01:29) The middle line is the simple moving average right the outer bands they stretch and they string with volatility. All right so do you know when the market is about to explode and leave everyone else chasing from behind. So this is where breakout comes into our first strategy. All right. So strategy number one, [music] breakouts, the squeeze before the explosion, right? So we call it the squeeze because that's exactly what happens, right? The market gets compressed in a tight range, right? And sooner or later it bursts,

(02:10) right? The bands gives you like the front row seat to that moment itself. Right? So when we look closely during this narrow phases, price is kind of like moves sideways. Right? The band act like a invisible wall around the [music] area of support and resistance. So it holds everything in a like a tight box.

(02:32) Suddenly a strong candle break off, [music] right? It's like a green bar that shoots through the upper band. So in an upwards break right in upwards move after that clear green bar break price would travel close to the upper band. So the upper band will now act as a support area where price kind of go through.

(02:54) Still price can break down but the momentum has already shifted upwards itself. Right? So then in a downwards move price will stick to the lower band itself. So this is the part where the bowlinger band it widens. It signals that the breakout has now transitioned into what we call a high volatility phase. So it it doesn't just stays outside the band.

(03:19) It can go back inside the band and then come back down again, right? But at that moment from a narrow range with the breakout, that's where the market has shifted gears into a high volatility range. So how do we enter? First off, prior in the narrow range itself, there cannot be a time where there are closes above or below the range.

(03:44) We got to make sure that price did not break that level before in order for us to increase the probability of that trade itself. So now when price breaks through with a good for example a bearish bar, we want to ask ourel is this length of the bar strong enough to take down the previous trend itself. Right? Look at the length of the bar compared to the previous bar.

(04:04) Is this a high momentum trade? All right. If the answer is yes, great. Right?

That's where you can enter at the close of the bar. Stop loss, you can simply put it above the high of the bar. Right? For your takeprofit, if there's a previous rejection area at the bottom itself, right? Like a previous low, that's where you can aim it over there for a good risk-to-reward ratio. All [music] right, cool.

(04:32) Now, obviously, we can stack more things up to increase the probability. For example, we could add uh the MACD for example. We could add the stochastic and you can read all of these and watch all of them in my videos itself. Cool. All right. So now, now that you understand that breakouts, [music] but Bollinger bands is not only used in breakouts, is also primarily used for [music] reversals. All right.

(04:59) So this is where strategy number two comes in. Reversals, right? Timing the snap back. Hey guys, it's Ezekiel Chu here. So let me tell you something that you won't hear anywhere else. 95% of the traders are wasting their time following the wrong strategies using outdated methods and kind of like guessing their way through the markets.

(05:22) So the indicators, the theories, the guesswork, they don't work. They never will. So what does work? real market clarity, real strategies, and real insight into how the market actually moves. Right. So now on the 29th of January 2026, we are bringing you the biggest and the most impactful trading event of the year, the AFM trading summit live 2026.

(05:46) This is a virtual event, right? So whether you are forex, stocks, crypto, commodities trader, this summit is designed to kind of overhaul your trading mindset and to provide you with real actionable insights that you can start using immediately. So you're going to discover how the professionals interpret price movements in real time while the market kind of the shift happens, right? And how to anticipate the moves and not just react to them.

(06:14) So you will see live market outlook interpretation for 2026, right? the reasoning behind every move that we take, right? So that you can stop guessing about what lies ahead and prepare for the moves. You're also going to get insider access to the habits that keeps professional traders consistent. How we plan, how we reset each year, how we maintain emotional stability no matter the market conditions, right? Especially at the start of each year.

(06:39) But here's the catch. Seats are filling up fast for the EFM trading summit live 2026. I mean the max capacity that we can fill in is 1,000 seats due to the platform restrictions. This is your chance to kick off or to reset your trading career and to gain actionable insights that you need to succeed in 2026. Register now in the link below.

(07:03) [music] To trade the bollinger band [music] reversal, we got to understand one thing. Reversal works best when the market is quiet. [music] All right. So, what we are waiting for is price have to actually tap the outer band. When price [music] taps the upper band, for example, we watch for sellers to step in.

(07:36) When price taps the lower band, we watch for buyers to step in. So, it's like a rubber band, right? The further you stretch, the stronger it pulls back to the middle itself. [music] All right? So, now here's the beauty of it. During the sideways market, right, the [music] market is 30% trending, 70% sideways.

(07:56) So, if you're only trading the trending market, you're missing 70% of the move itself. [music] And 70% of the moves happens inside a lot of times the bollinger band itself and that's where you trade or the reversals. All right. So the bollinger bands will act as a resistance or support level. Right? So now when price taps the upper band right? It kind of stalls a little bit over there.

(08:25) Right? That's your clue that the sellers are waiting. Price reject at the area, the momentum shift. Before you know it, price move towards the downside. So now

here's the key. When price reaches that area, there could be times like this where there is a bar that closes above, right? [music] So which is why like I said, we this could be a breakout.

(08:47) This could be a reversal with a bar after which we don't know. So we don't jump right in just because a bar break out. We add further confirmation. It could be a candlestick confirmation for example, right? It could be in this case earlier like I said we place a pending order above which price did not hit and then price closes back down.

(09:07) That's where hey this could potentially be a reversal. Now if we see that okay this could potentially be a reversal because there's a candlestick formation for example an inside bar or a bearish outside bar and a bearish engulfing bar. We don't just want to enter right away. For example, we want to add stochastic oscillator as a confirmation.

(09:27) We can add the MACD as confirmation. We could add um yeah the momentum as a confirmation with divergence, right? Or you could add RSI divergence as a confirmation. When you stack them [music] up together and we notice that market is in a quiet zone, right? Quiet as in what? The market is kind of going sideways little movement.

(09:49) The bollinger bands are not expanded. is kind of like flat, [music] right? This is the time where the market can range a lot in that area. So the probability increases a whole lot more in a quiet zone. All right. So now to execute the trade after seeing the confirmation stack up, we can enter at in this case for example to sell at the close of the bearish bar.

(10:13) Right? [music] Stop loss placing right above it. Take profit at where? The bottom of the bollinger band, [music] right? Especially if price has been constantly touching it before, giving you entry right at the top, taking bottom right at the bottom. And for example, if that happens again at the bottom, right, you can rinse and repeat to go for buy back upwards itself.

(10:36) In a quiet zone that happens 70% of the time of the market, you can always enter a lot of ding-dong ding-dong ding-dong trades. All right? Not all are going to be perfect, which is why your risk-to-reward ratio has to be good. Ideally speaking, one is to two or more. Therefore, you even [music] if you win 50/50% of the time, you would win more than you lose because of your risk-to-reward [music] ratio.

(11:01) Good. All right. So, now trading the market is not just about entering the reversals of the bollinger band. We can also enter when the market is going upwards. is not just only entering once at a breakout. We can enter when the market pullbacks. Okay, so here comes strategy number three, pullbacks, [music] the sniper entry point.

(11:31) All right, so do you really need to chase price to catch a trend? Right, or is there a smarter way in? So this is what the third strategy focus on, right? Where the pullback comes in. So instead of running after every candle, right, there is where the market is already going higher and higher and higher, right? That's already halfway gone.

(11:52) The bollinger band gives you the patience of a sniper. We wait for price to pull back to you before we pull the trigger. Okay? So this is exactly what the middle bollinger band does. [music] the middle line it acts like a magnet. Price pulls back towards the zone and that's where the next move is [music] born.

(12:18) All right. So now when price is above the middle Bollinger band and is riding between the upper band, right, and the center line which is the middle band, right? This is an uptrend, right? So in this situation, we do not want to sell, [music] right?

After the breakout when price is going upwards, price can stay within the bands. (12:35) It can go above the bands. It can go within the bands itself like I mentioned earlier. Right? We want to wait for buying opportunities now that the market has now gone from a 70% sideways to a 30% trending market. Correct? So if we enter on the breakout earlier, fantastic, right? But now let's say we miss the breakout.

(12:55) All right? And then we want to find more entries. Does it mean that we can only enter on the breakout? No. We can enter when price pulls back to the middle bowlinger band. This is our specific precise entry. So we think of it like a market taking a breath, right? It cannot be shooting up all the way, right? It need to go back to rest, right? To pause to retrace to the middle line, right? Only to shoot up again.

(13:24) Get it? So now for example in a downtrend when price goes back to the middle Ballinger band what we want to do is we want to wait for confirmation [music] for example a bearish engulfing bar for example a pin bar or a dogee right and then you can add MACD divergence itself it could be a hidden divergence watch my MDCD video itself right and this kind of pullback trades using the middle bowling gear band as a confirmation becomes a precise area of value, right? And it gives you an insane risk-to-reward ratio because the market is now moving, right? You're entering at

(14:04) the pullback around the highest point to have a trade downwards and more good, right? Let's put it all together. [music] the three primary ways of using the Ballinger band and is in fact the entire market itself. When the market starts expanding and it starts to break out, we trade the breakout trades which is how I told you, [music] right? When the market is consolidating, going flat, the market is quiet, right? We trade the reversals, the ding-dong ding-dong trades, right? And once the market starts moving up, it

(14:41) doesn't mean that it ends there. [music] The market is going to pull back a little bit before going up. trend continuation. That's where to trade the pullbacks. The bowlinger band, it becomes a very powerful tool that I have it on my chart every single time. And then right to further add extra confirmation, we add a candlestick confirmation, right? We add momentum indicators for example like the stoastic, the oxil oscillator, right? The MACD for example, the RSI, right? So you can watch all of my videos over here

(15:13) on how to use them specifically. Right? So then when we put this all together, what we have is no longer strategy. It's now an entire trading system. Good. Okay. So here's what to do next. I want to give you something that's going to change the way that you trade forever. [music] So, I've put together a free training that walks you through the exact three-step system that I use to find high probability trades with sniper level entries, real risk control, and zero guess work.

(15:47) So, this is the same system that I use myself and the same one that has helped thousands of traders go from frustration to consistent wins. And I'm giving it to you for free. Right? There's no fluff, no fueler, just pure [music] strategy. So, if you ever wanted to trade with clarity and real conviction, this is the place to start.

(16:10) So, click on the link in the description below and I'll see you inside the training. [music]